

Big Books Corp

Background Information

Big Books Corp is a Delaware Corporation that provides stationery items like Notebooks, Writing Pads, and Premium Journals for Schools, Colleges, and Organizations.



- **Notebook Segment** - This segment provides services related to providing plain notebooks of different sizes and shapes to students and administrators, primarily in high schools, colleges, and other post-secondary institutions. Notebooks accounted for 60.2% of net sales in the last year.
- **Writing Pads** - This segment provides everyday writing pads for home and offices that can be used to write notes and create lists. Writing Pads accounted for 13.7% of net sales in the last year.

- **Premium Journals** – Premium Journals are primarily used at home and offices for taking notes, draw or doodle, jot ideas, make lists, and collect quotes. Premium Journals accounted for 26.1% of net sales in the last year.

Table 1 – Segment Information

(\$ in Million Except Per Share Amounts)	Actuals		
	Historial 1	Historial 2	Historial 3
Revenue Notebook	1,700.0	2,033.2	2,383.1
Writing Pads	443.2	493.2	542.6
Premium Journal	761.8	881.6	1,033.2
Total Revenue (\$ Million)	2,904.9	3,408.0	3,959.0

The print and books industry, in general, continues to have excess capacity and remains highly competitive and fragmented. While the market is large and fragmented, Big Books has done really well to position its high-quality Notebooks, Writing Pads, and Premium Journals. They continue to invest in technological advancement and digital printing to ensure they remain the industry leaders.

The volumes sold across the segment have shown significant growth over the last 3 years.

Table 2 –Volumes Sold (Million Units)

(\$ in Million Except Per Share Amounts)	Actuals		
	Historial 1	Historial 2	Historial 3
Notebook (Million Units)	340.0	391.0	449.7
% Growth		15.0%	15.0%
Writing Pads (Million Units)	221.6	234.9	246.6
% Growth		6.0%	5.0%
Premium Journal (Million Units)	76.2	80.1	86.1
% Growth		5.2%	7.4%

- The Notebook segment has seen the highest growth so far amongst all the segments. However, due to Covid-19, the growth is projected to be slower at 5% in the next year. Thereafter, management expects the growth to jump to 15% y-o-y for the next 4 years.
- The Writing pads segment will see a growth of 6% each year. Due to Covid-19 Pandemic, this segment will grow at a slower rate of 2% in the next year and is expected to regain its normal growth rate of 6% y-o-y thereafter.

- The COVID-19 lockdown has resulted in slower growth in the Premium Journal segment and management expects that it will grow at 3% in the next year and thereafter, it will continue to grow at 7% y-o-y.

Big Books believes that, across its range of products and services, competition is based primarily on the quality and the ability to service the special needs of customers at a competitive price. Therefore, they need to continue to differentiate their product and service offerings and aggressively manage their cost structure to remain competitive. Its business is differentiated by a wide array of quality products and marketability. Big Books continue to develop and expand its print production, supply chain management, and distribution services to address customer's evolving needs while supporting the strategic objective of becoming a leading global provider of integrated communication products and services.

The selling price of each of the three categories of products is shown below -

Table 3 - Sales Price Movement

(\$ in Million Except Per Share Amounts)	Actuals		
	Historial 1	Historial 2	Historial 3
Notebook (Price per unit)	\$5.0	\$5.2	\$5.3
% Growth		4.0%	1.9%
Writing Pads (Price per unit)	\$2.0	\$2.1	\$2.2
% Growth		5.0%	4.8%
Premium Journal (Pricer per unit)	\$10.0	\$11.0	\$12.0
% Growth		10.0%	9.1%

Due to the Covid-19 situation, management has no plans to increase the prices of their products for the next year. Thereafter (from Forecast year 2), the product prices to increase as follows:

- Notebook prices to increase by 2% each year.
- Writing Pads prices to increase by 5% each year.
- Premium Journals prices to increase by 10% for the remaining 4 years.

Table 4: Historical Income Statement of Big Books Corp

(\$ in Million Except Per Share Amounts)	Actuals		
	Historical 1	Historical 2	Historical 3
Net Sales	\$2,904.9	\$3,408.0	\$3,959.0
Cost of Sales	1,494.8	1,866.1	2,309.7
Gross Profit	1,410.1	1,541.9	1,649.2
Selling, General & Admin Costs	305.1	388.3	448.1
EBITDA	1,105.0	1,153.6	1,201.2
Depreciation	101.9	123.1	140.0
Amortization	9.4	10.7	13.0
EBIT	993.7	1,019.8	1,048.1
Interest Expense	44.1	60.1	63.8
Interest Income	0.0	9.4	10.9
Pretax Income	949.6	969.1	995.3
Income Taxes	175.0	215.0	255.0
Net Income	\$774.6	\$754.1	\$740.3

Table 5: Historical Balance Sheet of Big Books (Assets)

(\$ in Million Except Per Share Amounts)	Actuals		
	Historical 1	Historical 2	Historical 3
Current Assets			
Cash & Cash Equivalents	\$27.5	\$85.6	\$48.7
Marketable Securities	40.00	50.00	60.00
Receivables	462.9	473.7	473.0
Inventory	327.0	350.2	383.8
Other Current Assets	87.4	82.8	83.5
Total Current Assets	944.8	1,042.3	1,049.0
Long Term Securities	160.0	180.0	200.0
Land	30.0	30.0	30.0
Machinery and equipment	630.0	700.0	875.0
Automobiles and trucks	250.0	325.0	400.0
Gross PPE	910.0	1,055.0	1,305.0
Accumulated Depreciation	(101.9)	(225.0)	(365.0)
Net PPE	808.1	830.0	940.0
Other Assets			
Intangibles, net	46.5	62.3	80.0
Goodwill	1,671.7	1,671.7	1,671.7
Total Assets	3,631.1	3,786.3	3,940.7

Table 6: Historical Balance Sheet of Big Books (Liabilities)

Current Liabilities			
Accounts Payable	\$206.4	\$221.4	\$279.1
Accrued Liabilities	180.7	161.3	176.7
Other Current Liabilities	68.3	62.8	81.8
Total Current Liabilities	455.4	445.5	537.6
Loan Funds			
Revolving Credit Facility	\$250.0	\$150.0	\$101.0
Long Term Debt	2,200.0	1,990.0	1,635.0
Total Loan Funds	2,450.0	2,140.0	1,736.0
Other Long Term Liabilities	153.0	157.3	187.1
Post retirement Pension Cost	72.7	54.4	60.6
Common Stock & APIC	1,000.0	1,000.0	1,000.0
Treasury Stock	(1,500.0)	(1,575.0)	(1,655.0)
Retained Earnings	1,000.0	1,564.1	2,074.4
Accumulated Other Comprehensive Income	-	-	-
Shareholder's Equity	500.0	989.1	1,419.4
Total Liabilities & Equity	3,631.1	3,786.3	3,940.7

Cost of Sales

The primary raw materials used are paper sheets, printing ink, adhesive, and hard covers. Below is the overall requirement of raw material for each unit of Notebook, Writing Pad, and Premium Journal.

The gross margin of each segment is calculated as Segment's Cost of Sales / Segmental Revenue. The table below provides its summary -

Cost of Sales Forecast			
Notebook (Cost of Sales)	\$799.00	\$975.94	\$1,239.24
Segmental Gross Margin (%)	47.0%	48.0%	52.0%
Writing Pads (Cost of Sales)	257.0	295.9	339.1
Segmental Gross Margin (%)	58.0%	60.0%	62.5%
Premium Journals (Cost of Sales)	\$438.80	\$594.24	\$731.39
Segmental Gross Margin (%)	57.6%	67.4%	70.8%
Total Cost of Sales	1,494.8	1,866.1	2,309.7

Selling, General and Administrative Expense

The selling, general and administrative expenses include the employee costs, advertisement costs, rentals, insurance premiums, and other miscellaneous costs.

The below table provides details of each segments' SG&A expense.

SG&A Expenses			
Notebook (SG&A Expense)	\$187.00	\$227.72	\$262.15
SG&A Expenses as a % of Notebook Sales	11.0%	11.2%	11.0%
Writing Pads (SG&A Expense)	42.0	63.6	61.9
SG&A Expenses as a % of Writing Pad Sale	9.5%	12.9%	11.4%
Premium Journals (SG&A Expense)	\$76.18	\$96.97	\$123.99
SG&A Expenses as a % of Premium Journal Sales	10.0%	11.0%	12.0%
SG&A Expense	305.1	388.3	448.1

Property, Plant, and Equipment

Property, plant, and equipment are recorded at cost and depreciated on a straight-line basis over their useful lives. Depreciation expenses were \$101.9 million, \$123.1 million, and \$140.0 million in the Historical year 1, year 2, and year 3, respectively.

Table 12 – Property, Plant and Equipment (Breakup)

Land	30.0	30.0	30.0
Machinery and equipment	630.0	700.0	875.0
Automobiles and trucks	250.0	325.0	400.0
Gross PPE	910.0	1,055.0	1,305.0
Accumulated Depreciation	(101.9)	(225.0)	(365.0)
Net PPE	808.1	830.0	940.0

Remaining Useful Life of Old Assets

- Machinery and Equipment – 10 years
- Automobiles & Trucks – 10 Years

Useful Life of New Capex

- Machinery and Equipment – 12 years
- Automobiles & Trucks – 12 Years

Intangibles

Big Books has set up a single account for all intangible assets. Historically, intangible as a percentage of Sales was less than 1%. It is assumed that these intangibles consist of patents, trademarks, and copyrights. Additionally, the present net intangibles have the remaining useful life of 8 years. It is assumed that any new intangible will have a useful life of 10 years. Intangibles are amortized using the straight-line method.

Goodwill Impairment

The goodwill impairment test involves a two-step process. First, Big Books assesses whether the fair value of the reporting unit exceeds the carrying amount of the unit including goodwill. Big Books Corp evaluation generally considers changes in the operating environment, competitive position, market trends, operating performance, quoted market prices for our equity securities and fair value models, and research prepared by independent analysts and, if necessary, discounted cash flows. If the carrying amount of a reporting unit exceeds its fair value, we would perform a second test and if necessary, reduce the reporting unit's goodwill to its implied fair value. The Corporate Finance team estimates that there will be no changes in the allocation of goodwill in the future.

Dividends

Big Books Corp paid dividends of \$150 million in Historical Year 1, \$190 million in Historical Year 2, and \$230 million in Historical Year 3. The dividends payout ratio was 19.4%, 25.5%, and 31.5% in the Historical Year 1, 2, and 3, respectively. The management anticipates dividends in the future to maintain the 30% payout ratio.

Repurchase

Three years ago, Big Books announced the authorization to expand its share repurchase program from \$200 million to \$1600 million, which increases the share repurchase program previously approved by our Board of Directors. Under the program, Big Books repurchased \$50 million, \$75 million, and \$80 million worth

shares in Historical Year 1, Historical Year 2, and Historical Year 3, respectively. Currently, Big Books had approximately \$1200 million remaining under this authorization.

Their debt agreements contain restrictive covenants, which, under certain circumstances, could limit the amount of share repurchases. Management anticipates that they will continue to buy around \$100 million worth shares every year in the future.

Other Assets and Liabilities

- Big Books will continue with the strategy of buying \$10 million worth Marketable securities each year in the future.
- Additionally, Big Books will continue to buy \$20 million worth of Long-Term Securities each year.
- Management assumes that there will be no change in Other Long-Term Liabilities and Post Retirement Pension Costs

Debt Schedule

Big Books Corp believes that they will be able to fund all of the currently anticipated cash requirements, including scheduled debt repayments, new investments in the business, share repurchases, dividend payments, and possible business acquisitions, from operating cash flow and revolving credit facility.

Earlier, Big Books completed a new \$500 million, three-year unsecured revolving credit facility with a syndicate of banks, which expires in 5 years. This facility replaced Big Book's \$325.0 million unsecured revolving credit facility, which matured this year. Borrowings under the new credit facility will be at a 5% fixed rate.

Currently, outstanding under the revolving credit facility was \$101 million. The unused portion of the revolver may be used for general corporate purposes, acquisitions, share repurchases, and working capital needs.

The following table illustrates compliance with regard to the material covenants required by the terms of this facility.

- Maximum Leverage Ratio (Debt to EBITDA) = 3.5x
- Minimum Interest Coverage Ratio (EBITDA/Interest) = 3.0x
- Minimum Net Worth = 315.9

Big Books Corp has also taken a long-term debt of \$1535 million. Under the agreement, Big Books is obligated to make the future principal payments in cash. The rate of interest for the long-term debt is fixed at 4.5%. The following table summarizes the cash obligations for the next five years and thereafter (in millions)

- Forecast 1 - \$300 Million
- Forecast 2 - \$200 Million
- Forecast 3 - \$100 Million
- Forecast 4 - \$50 Million
- Forecast 5 - \$50 Million

Big Books Case Study Questions

Assignment 1

Using a modular approach, validate the Revenue, Cost of Sales, and SG&A expenses for Historical Year 1, Historical Year 2, and Historical Year 3.

Assignment 2

Observe the growth rates and key trends in the Revenue and Cost items and project them.

Assignment 3

Prepare and complete the 3 Statement Model from the inputs gathered from the management.

Assignment 4

Find out the Fair Value of the Company using the Discounted Cash Flow Approach.

Assignment 5

Find out the Fair Value of the Company using Relative Valuations.